

Kalshi Bayesian `50` Paper Budget Brief - 2026-05-30

Status: paper-only operator brief. No live order, no authenticated Kalshi request, no custody, no guaranteed profit, and no investment advice.

What It Is Betting On

The current public-data queue is not only sports. It contains event contracts:

Lane	Examples in current queue	Meaning
MLB totals/spreads	Kansas City vs Texas total runs; New York Yankees vs A's total runs; Atlanta by more than 1.5 runs	Yes/no event contracts tied to game outcomes.
Weather	Phoenix high temperature band; Denver low; Atlanta high	Yes/no event contracts tied to reported weather outcomes.
Music/chart	Top USA song on Spotify	Yes/no event contract tied to a chart result.
HFT research	Tennis match and other spread-aware rows	Paper-only maker/spread research, not live execution.

When We Know

Each ticket now stores `closeTime`, `daysToClose`, and `whenKnown`.

Close time is the earliest useful clock for review, not a guarantee that money is final. Final truth depends on the market rules and settlement source. Before any real account action, open the market rules page and confirm the settlement source, close time, and appeal/finalization behavior.

Bayesian World Model Math

Use the market price as a prior, then update only with evidence:

```
p_market ~= yesMid or yesAsk after fee/spread adjustment<br/>prior_odds = p_market / (1 - p_market)<br/>posterior_odds = prior_odds * likelihood_ratio_evidence<br/>logit(posterior) = logit(prior) + sum(weight_i * feature_i)<br/>EV_yes_per_contract = p_posterior - price_yes_before_fees<br/>kelly_fraction = max(0, (p_posterior - price_yes) / (1 - price_yes))
```

For sports, evidence can include team strength, starting pitchers/lineups, injuries, weather, travel/rest, market movement, and historical distribution of similar totals. For weather, evidence can include official forecasts, ensemble spread, station history, and time-to-event. For music/chart events, evidence can include public chart position, stream velocity, release timing, and platform rules.

Current posterior status: `not\_estimated`. The queue has data-quality scores, not outcome probabilities.

`50` Paper Budget



With a `50` bankroll assumption:

Rule	Value
Live spend now	`\$0`
Paper daily max loss	`\$5.00`
Paper max per market	`\$1.00`
Contract count per paper ticket	`1`
Required before live	independent posterior probability, fees/slippage, orderbook depth, max-loss note, human approval

This means Lantern can paper-test the current queue without pretending the full

probabilities and approval exist.
Current Decision
If the operator has `50`, use it as a bankroll model, not as a spend command.
Allowed now:
- refresh public data;
- generate paper tickets;
- build posterior probability notes;
- compare paper results to settlement outcomes.
Blocked now:
- live orders from chat;
- automated sports/game betting;
- custody or key storage in RAG;
- staking all `50`;
- claiming edge from market liquidity alone.
Reader Link

<http://127.0.0.1:4177/view?path=manifests/evidence/kalshi-bayesian-50-dollar-brief-2026-05-30.md>